BofA SECURITIES

Meta Platforms Inc

3Q Preview: Back on offense with AI

Reiterate Rating BUY | PO: 810.00 USD | Price: 736.72 USD

Expecting 3Q Rev beat; checks suggest healthy ad growth

Reports on 10/21, leading off Online Media reporting. We see upside potential to 3Q revenues given solid ad checks, and est. 3Q revenues of $63.8bn vs Street $63.3bn (we think expectations could be ~$64bn). We are revising ests. to reflect 1x $10bn accrual related to set lement with state AGs & expect 3Q GAAP OI of $11.5bn vs Street $18.6bn (we are above ex 1x charge) & EPS of $3.79 vs Street $6.08. Reit. Buy & $810 PO.

AI driving ad results, expect Rev. guide to bracket Street

For 4Q'26, we remain above Street, but slightly lower estimates due to FX. We now expect Rev/EPS of $74.1bn/$8.74 vs Street at $73.6bn/$8.18. Assuming 3Q near high end of guide & noting a 2pt easier ex-FX 4Q y/y comp. we expect 4Q outlook of $71.5-$74.5bn (up 19-24% y/y vs 25% in 3Q). For expenses, including the 1x $10bn accrual, we think Meta could raise low end of FY26 outlook by $10bn to $175bn, and narrow upper end to $177bn. We think Meta could also narrow its capex guide to $140-$145bn.

AI launches, Ad trends & expense comments focus areas

Call focus areas: Muse adoption (& token cost per user) & monetization timelines, enterprise AI opportunity, LLM/infrastructure strategy, & capex. Positives could include: 1) AI driving ad upside, 2) Disclosures indicating strong traction for new AI initiatives, & 3) outlook for infrastructure efficiencies. Risks: 1) Soft 4Q guide due to macro, FX or moderating AI benefits, 2) commentary suggesting higher capex or opex in 2027, 3) lack of AI monetization in 2027 as Muse will consume capacity w/o near-term revs. We don't expect a formal '27 capex guide, but Meta could provide a qualitative framework.

AI top tech theme, Meta on positive trajectory; Buy

Recent AI launches have strengthened confidence in company's AI execution and we see Meta with least risk of AI disruption to core business in our coverage. While 2027 EPS could see pressure on elevated AI investments, capacity assets are building, and we think Muse and Model traction can drive multiple expansion with stock at 22x 2027 EPS. Next catalysts: Muse traction, enterprise deals following Muse Wonder LLM launch & launch of an enterprise coding agent. Risks: 1) Slowing Muse downloads or user activity, 2) Google consumer agent launch, & 3) call comments increase concerns on 2027 capex & expense growth (and capital raises), pressuring sentiment until the Dec. Q earnings call.

Estimates (Dec) (US$)	2024A	2025A	2026E	2027E	2028E

For full definitions of iQmethod℠ measures, see page 21.

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Refer to important disclosures on page 22 to 24. Analyst Certification on page 20. Price Objective Basis/Risk on page 20. 13029052

16 October 2026

Equity

Key Changes

		Current
2026E Rev (m)	255,193.5	254,975.7
2027E Rev (m)	316,788.5	314,810.3
2028E Rev (m)	379,105.6	376,778.6
2026E EPS	32.53	29.11
2027E EPS	34.73	34.24
2028E EPS	39.71	39.27

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Stock Data

Price	736.72 USD
Price Objective	810.00 USD
Date Established	30-Jul-2026
Investment Opinion	B-1-7
52-Week Range	520.26 USD - 779.82 USD
Mrkt Val (mn) / Shares Out (mn)	1,891,160 USD / 2,567.0
Free Float	99.9%
Average Daily Value (mn)	15801.23 USD
BofA Ticker / Exchange	META / NAS
Bloomberg / Reuters	META US / META.OQ
ROE (2026E)	36.5%
Net Dbt to Eqty (Dec-2025A)	22.1%

IDFA: Identifier for Advertisers
DMA: Digital Markets Act
DAP: Daily Active People
MAU: Monthly Active User
ARPP: Average Revenue per Person
RL: Reality Labs
IG: Instagram
HC: Headcount
FB: Facebook
TT: TikTok
FX: Foreign Exchange
ST: Sensor Tower
AI: Artificial Intelligence
ML: Machine Learning
Gen-AI: Generative AI
FCF: Free cash flow
Conf.: Confidence
YT: YouTube
FAI: Frontier AI
ROI: Return on Investment
FTC: Federal Trade Commission

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*iQ*profile℠ Meta Platforms Inc

iQmethod℠ **– Bus Performance***

(US$ Millions)	2024A	2025A	2026E	2027E	2028E
Return on Capital Employed	34.8%	26.0%	26.1%	24.5%	22.4%
Return on Equity	43.9%	46.6%	36.5%	33.8%	28.5%
Operating Margin	53.2%	52.4%	43.4%	45.0%	43.1%
Free Cash Flow	54,072	46,109	(5,665)	(29,622)	(5,036)

iQmethod℠ **– Quality of Earnings***

(US$ Millions)	2024A	2025A	2026E	2027E	2028E
Cash Realization Ratio	1.2x	1.2x	1.4x	1.5x	1.6x
Asset Replacement Ratio	2.4x	3.7x	5.0x	4.9x	3.5x
Tax Rate	11.7%	29.6%	4.8%	15.0%	14.5%
Net Debt-to-Equity Ratio	2.8%	22.1%	28.7%	23.3%	17.3%
Interest Cover	NA	NA	NA	NA	NA

Income Statement Data (Dec)

(US$ Millions)	2024A	2025A	2026E	2027E	2028E
Sales	164,500	200,965	254,976	314,810	376,779
% Change	21.9%	22.2%	26.9%	23.5%	19.7%
Gross Profit	135,397	165,915	206,343	245,002	282,327
% Change	23.3%	22.5%	24.4%	18.7%	15.2%
EBITDA	102,069	122,932	136,955	182,518	226,046
% Change	41.0%	20.4%	11.4%	33.3%	23.8%
Net Interest & Other Income	1,284	2,657	(1,179)	(80)	(80)
Net Income (Adjusted)	**73,718**	**93,094**	**94,511**	**120,286**	**138,007**
% Change	**43.2%**	**26.3%**	**1.5%**	**27.3%**	**14.7%**

Free Cash Flow Data (Dec)

(US$ Millions)	2024A	2025A	2026E	2027E	2028E
Net Income from Cont Operations (GAAP)	62,387	60,459	74,735	88,340	101,837
Depreciation & Amortization	15,498	18,616	27,304	42,030	64,759
Change in Working Capital	1,051	(885)	(4,367)	9,915	12,565
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	12,392	37,610	34,256	35,415	40,873
Capital Expenditure	(37,256)	(69,691)	(137,594)	(205,323)	(225,071)
Free Cash Flow	**54,072**	**46,109**	**-5,665**	**-29,622**	**-5,036**
% Change	**22.7%**	**-14.7%**	**NM**	**-422.9%**	**83.0%**
Share / Issue Repurchase	0	0	0	0	0
Cost of Dividends Paid	(5,071)	(5,324)	(5,761)	(6,168)	(6,226)
Change in Debt	10,432	29,906	24,910	0	20,000

Balance Sheet Data (Dec)

(US$ Millions)	2024A	2025A	2026E	2027E	2028E
Cash & Equivalents	43,889	35,873	18,176	9,064	8,242
Trade Receivables	16,994	19,769	23,705	28,442	32,367
Other Current Assets	39,162	53,080	54,035	20,272	20,681
Property, Plant & Equipment	121,346	176,400	299,255	462,548	622,859
Other Non-Current Assets	54,663	80,899	98,787	98,847	98,907
Total Assets	**276,054**	**366,021**	**493,958**	**619,172**	**783,056**
Short-Term Debt	1,942	2,213	2,425	2,425	2,425
Other Current Liabilities	31,654	39,623	58,273	74,022	90,781
Long-Term Debt	47,118	81,684	101,990	101,990	101,990
Other Non-Current Liabilities	12,703	25,258	30,466	30,666	30,866
Total Liabilities	**93,417**	**148,778**	**193,154**	**209,103**	**226,062**
Total Equity	**182,637**	**217,243**	**300,804**	**410,069**	**556,994**
Total Equity & Liabilities	**276,054**	**366,021**	**493,958**	**619,172**	**783,056**

* For full definitions of ***iQ***method℠ measures, see page 21.

Company Sector

Internet/e-Commerce

Company Description

Meta Platforms is the largest social network with over 3 billion monthly active users across its properties. The company generates revenue from advertising and payments, with over 95% of revenue from advertising. Meta's revenues are split at rough 50% in North America, and 50% in International markets.

Investment Rationale

Meta is an investment in increasing social and mobile Internet usage, and also offers exposure to the increasing use of AI technology. The company is positioned for strong EPS growth, in our view, when the current investment cycle slows and growing capacity is better monetized.

Stock Data

Average Daily Volume	21,448,074

Quarterly Earnings Estimates

	2025	2026
Q1	6.43A	10.44A
Q2	7.14A	6.15A
Q3	1.05A	3.79E
Q4	8.88A	8.74E

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Estimate Changes

We are updating our estimates to reflect Meta's late-Aug settlement with state AGs and recent FX headwinds. Our 3Q revenue estimates are unchanged, while the expected $10bn legal accrual charge reduces our GAAP EPS estimate to $3.79, (vs $7.08 previously and Street $6.08). For 4Q, we lower revenues by 0.3% to $74.1bn and GAAP EPS by 0.6% to $8.74. For 2027, we lower revenue by 0.6% to $315bn and EPS by 1% to $34.24. We are also modestly raising our 2027 capex estimate to reflect incremental infrastructure and capacity requirements associated with scaling Muse. We now expect 2027 Capex of $205bn (vs $192bn previously & Street $195bn).

Exhibit 1: We are lowering revenues and 2027 GAAP EPS by 1% to $34.24 due to FX
Meta Estimate Changes

	3Q'26 Estimates			4Q'26 Estimates			2026 Estimates			2027 Estimates		
	Old	New	Change	Old	New	Change	Old	New	Change	Old	New	Change
Revenues												
Advertising revenue	62,192	62,192	0	71,964	71,754	(210)	248,543	248,334	(210)	302,674	301,001	(1,673)
Y/Y	*24%*	*24%*	*0%*	*24%*	*23%*	*0%*	*27%*	*27%*	*0%*	*22%*	*21%*	*-1%*
Q/Q	*5%*	*5%*	*0%*	*16%*	*15%*	*0%*						
Other FoA revenue	1,132	1,132	0	1,298	1,290	(8)	4,321	4,313	(8)	6,653	6,598	(55)
Y/Y	*64%*	*64%*	*0%*	*62%*	*61%*	*-1%*	*67%*	*67%*	*0%*	*54%*	*53%*	*-1%*
Reality Labs revenue	479	479	0	1,017	1,017	0	2,329	2,329	0	2,462	2,462	0
Y/Y	*2%*	*2%*	*0%*	*6%*	*6%*	*0%*	*6%*	*6%*	*0%*	*6%*	*6%*	*0%*
Unspecified AI Capacity Revs.	0	0	0	0	0	0	0	0	0	5,000	4,750	(250)
Y/Y	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*
Total Revenue	**$63,803**	**$63,803**	**$0**	**$74,278**	**$74,061**	**($218)**	**$255,193**	**$254,976**	**($218)**	**$316,788**	**$314,810**	**($1,978)**
Y/Y	*25%*	*25%*	*0%*	*24%*	*24%*	*0%*	*27%*	*27%*	*0%*	*24%*	*23%*	*-1%*
Cost of revenue	12,420	12,420	0	15,152	15,276	124	48,508	48,632	124	69,241	69,808	568
As a % of revenue	19.5%	19.5%	0.0%	20.4%	20.6%	0.2%	19.0%	19.1%	0.1%	21.9%	22.2%	0.3%
Gross Profit	51,383	51,383	0	59,126	58,784	(342)	206,685	206,343	(342)	247,548	245,002	(2,546)
Gross Margin	*80.5%*	*80.5%*	*0.0%*	*79.6%*	*79.4%*	*-0.2%*	*81.0%*	*80.9%*	*-0.1%*	*78.1%*	*77.8%*	*-0.3%*
R&D	15,896	15,896	0	17,263	17,088	(175)	60,422	60,247	(175)	79,062	77,752	(1,310)
S&M	3,186	3,186	0	3,728	3,712	(16)	12,798	12,782	(16)	13,910	13,783	(126)
G&A	3,265	13,265	10,000	3,493	3,515	22	14,514	24,536	10,022	13,954	14,042	87
SBC	7,505	7,505	0	7,880	7,880	0	29,075	29,075	0	35,415	35,415	0
GAAP Total Expenses incl. COGS	42,271	52,271	10,000	47,516	47,472	(45)	165,317	175,272	9,955	211,582	210,801	(782)
Y/Y	*38%*	*70%*	*33%*	*35%*	*35%*	*0%*	*40%*	*49%*	*8%*	28%	*20%*	*-8%*
Operating Income - GAAP	**$21,532**	**$11,532**	**($10,000)**	**$26,762**	**$26,589**	**($173)**	**$89,877**	**$79,704**	**($10,173)**	**$105,206**	**$104,010**	**($1,197)**
Margin	34%	18%	-16%	36%	36%	0%	35%	31%	-4.0%	33%	33%	-0.2%
Incremental margin	*8%*	*-74%*	*-83%*	*15%*	*14%*	*-1%*	*13%*	*-7%*	*-19%*	*28%*	*46%*	*18%*
Other Income	(20)	(20)	0	(20)	(20)	0	(1,179)	(1,179)	0	(80)	(80)	0
Income Tax Expense	3,334	1,784	(1,550)	4,145	4,118	(27)	5,366	3,790	(1,577)	15,769	15,589	(179)
Tax Rate	16%	16%	0%	16%	16%	0%	6%	5%	-1%	15%	15%	0%
GAAP EPS (Diluted)	**$7.08**	**$3.79**	**($3.29)**	**$8.79**	**$8.74**	**($0.06)**	**$32.46**	**$29.11**	**($3.35)**	**$34.63**	**$34.24**	**($0.39)**
non-GAAP EPS	**$9.77**	**$6.46**	**($3.31)**	**$11.62**	**$11.56**	**($0.06)**	**$40.19**	**$36.82**	**($3.37)**	**$47.02**	**$46.62**	**($0.39)**
Diluted Shares	2,568	2,568	0	2,570	2,570	0	2,567	2,567	0	2,580	2,580	0
EBITDA	**$36,155**	**$26,155**	**($10,000)**	**$42,473**	**$42,300**	**($173)**	**$146,256**	**$136,083**	**($10,173)**	**$182,503**	**$181,455**	**($1,048)**
Margin	*56.7%*	*41.0%*	*-15.7%*	*57.2%*	*57.1%*	*-0.1%*	*57.3%*	*53.4%*	*-3.9%*	*57.6%*	*57.6%*	*0.0%*
FCF	(8,744)	(5,324)	3,420	(3,388)	(15,252)	(11,864)	2,780	(5,665)	(8,444)	(15,214)	(29,622)	(14,408)
D&A	7,119	7,119	0	7,831	7,831	0	27,304	27,304	0	41,882	42,030	149
Capital Expenditures	42,748	42,748	0	45,867	45,732	(134)	137,728	137,594	(134)	191,937	205,323	13,386
Headcount	70,189	70,189	0	71,242	71,242	0	71,242	71,242	0	75,610	75,610	0
Daily Active People (bn)	3.64	3.64	0.00	3.68	3.68	0.00	3.68	3.68	0.00	3.82	3.82	0.00
Avg. Rev per person (ARPP)	$17.4	$17.4	$0.0	$19.9	$19.8	-$0.1	$68.7	$68.7	-$0.1	$80.98	$80.52	-$0.45
Ad impressions delivered (y/y %)	14%	14%	0%	11%	11%	0%	14%	14%	0%	11%	11%	0%
Average price per ad (y/y %)	9%	9%	0%	11%	10%	0%	11%	11%	0%	9%	9%	-1%

Source: BofA Global Research Estimates

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3Q'26 Key Metrics

Exhibit 2: We are above Street for 3Q'26 Rev but below for EPS (adjusting for 1x $10bn legal charge)
3Q'26 Key Metrics ($mn except per share basis)

Metric	BofA Ests.	Consensus	Comments
Total Revenue	$63,803	$63,281	We estimate 25% y/y growth (or up 5% q/q growth) and 26% y/y (ex-FX)
Advertising revenue	$62,192	$61,689	We estimate 24% y/y growth or 25% y/y ex-FX (vs 26% in 2Q'26)
Reality Labs revenue	$479	$509	We expect 2% y/y revenue growth (vs +16% y/y in 2Q'26) and are below Street estimates
Daily Active People (bn)	3.64	3.66	We expect 3% y/y growth (same as 2Q'26) or 1% q/q
Average Revenue per Person	$17.40	$17.29	We expect 20% y/y growth (vs +23% y/y in 2Q'26)
Ad impressions growth y/y	14%	11%	We estimate total ad impressions +14% y/y (down 4% q/q) in 3Q'26 vs +14% y/y in 2Q'26
Avg. ad price growth y/y	9%	11%	We estimate pricing up 9% y/y (or up 9% q/q) in 3Q'26 vs +12% y/y in 2Q'26
GAAP Total Expenses	$52,271	$44,749	Our expense estimates includes $10bn legal settlement accrual
EBITDA (ex. SBC)	$26,155	$33,629	We estimate EBITDA margins at 41.0% in 3Q'26 vs 53.8% in 2Q'26
GAAP EPS	$3.79	$6.08	We are below Street for GAAP EPS estimates but above excluding legal accrual.
Capital expenditures	$42,748	$41,557	Represents 67% of revenue vs ~50% in 2Q'26
Free cash flow (mn)	($6,164)	($8,687)	We are modestly above Street for 3Q'26 FCF estimates

Source: BofA Global Research, Visible Alpha

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BofA vs Street Estimates

We now estimate 3Q'26 Revenue/EBITDA of $63.8bn/$26.2bn vs Street $63.3bn/$33.6bn and GAAP EPS of $3.79 (vs Street at $6.08). Our 3Q EBITDA/EPS estimates include impact of 1x $10bn legal charge in G&A. We estimate 4Q'26 Rev/EPS of $74.1bn/$8.74 vs Street at $73.6bn/$8.18.

For 2027, we estimate total revenues to grow 24% y/y to $315bn, above Street at $306bn, EBITDA of $181.4bn (vs Street $180.7bn), and GAAP EPS of $34.24 (vs Street $33.97). We estimate 20% y/y expense growth in 2027 to $211bn, above Street at $202bn. Our 2027 GAAP EPS estimates include an estimated ~$5.5 EPS from RL investments.

Exhibit 3: We are above Street for 2026 Revenue
Meta Platforms Estimate Summary

	3Q'26	4Q'26	2026	2027
Total Revenue				
BofA Ests.	$63,803	$74,061	$254,976	$314,810
Y/Y (%)	*24.5%*	*23.7%*	*26.9%*	*23.5%*
Street Ests.	$63,281	$73,566	$253,951	$305,902
Y/Y (%)	*23.5%*	*22.8%*	*26.4%*	*20.0%*
BofA vs Street	**Above**	**Above**	**Above**	**Above**
EBITDA				
BofA Ests.	$26,155	$42,300	$136,083	$181,455
Margin (%)	*41.0%*	*57.1%*	*53.4%*	*57.6%*
Street Ests.	$33,629	$41,466	$142,905	$180,678
BofA vs Street	**Below**	**Above**	**Below**	**Above**
GAAP EPS				
BofA Ests.	$3.79	$8.74	$29.11	$34.24
Street Ests.	$6.08	$8.18	$30.98	$33.97
BofA vs Street	**Below**	**Above**	**Below**	**Above**

Source: BofA Global Research, Visible Alpha

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3Q'26 Preview Summary

3Q'26 Revenue & Growth Expectations

Meta reports on 10/21. We are revising our estimates to reflect 1x $10bn accrual related to settlement with state AGs, and recent FX changes. We now expect 3Q Rev/EPS of $63.8bn/$3.79 vs Street $63.3bn/$6.08. We expect ex-FX ad revenue growth to decelerate 1pt q/q to a still strong 25% on a 3pt tougher y/y comp. On q/q basis, we expect ad revenues up 5% q/q in 3Q'26 (vs up 8% in 3Q'25 and up 4% in 3Q'24). Based on history and recent advertising checks that suggest relatively healthy 3Q advertising growth at Meta, we think buyside could be expecting 3Q revenues near the high end of the guidance at $64bn (+25% y/y) & beat on EPS (adjusted for $10bn in 1x expenses).

Our latest Internet advertising survey suggests healthy advertising demand in the quarter (See our note: BofA Internet Advertiser survey: responses suggest solid spend in 3Q vs plan). Responses suggest solid spend in 3Q (vs plan) and our channel checks also suggest 3Q ad spending growth on Meta slightly decelerated (1pt) due to tough comps but underlying fundamentals remain healthy. US checks suggest enhanced targeting and automation at Meta are driving higher advertiser ROI and supporting accelerating double-digit pricing growth. Macro softness in the EU is a modest 3Q risk.

Our checks were also constructive on Meta's Business Agent opportunity, an AI-powered solution that helps businesses automate campaign creation and management. The product has simplified advertising and customer engagement workflows, making Meta's platform more accessible to small and micro businesses with limited resources. Over time, Business Agent has the potential to attract incremental advertisers, accelerate monetization across WhatsApp and other messaging properties, and further drive advertising growth.

Users & Monetization

We estimate 3Q daily active people (DAP) at 3.64bn (vs Street at 3.66bn) and average revenue per person of $17.40 (vs Street $17.29). Per Sensor Tower, Facebook's global DAUs were down 8% y/y (down 4% q/q) in 3Q'26. Instagram's global DAUs were up 6% y/y (up 3% q/q) in 3Q'26. For avg time spent per user, Sensor Tower data suggests strong growth on Instagram and modest pressure on Facebook engagement.

Expenses, Capex & Profitability

Adjusting for one-time $10bn legal accrual, we now estimate 3Q EBITDA of $26.2bn (41.0% margin) and EPS of $3.79, below Street at $33.6bn & $6.08 respectively. We expect 3Q COGS of $12.4bn (vs Street $12.7bn) and gross margin of 80.5% (vs Street 79.9%). We estimate 3Q total expenses of $52.3bn (up 70% y/y) vs Street at $44.7bn, with D&A of $7.1bn (vs Street $7.9bn). We estimate 3Q Capex of $42.7bn (vs Street $41.6bn) and FCF of negative $6.2bn (vs Street negative $8.7bn).

4Q'26 Revenue outlook

For 4Q'26, we now estimate Rev/EPS of $74.1bn/$8.74 vs Street at $73.6bn/$8.18. We expect advertising revenue of $71.8bn, with ex-FX revenue growth decelerating 1pt q/q on 2pt easier y/y comp. On a q/q basis, we expect 4Q ad revenue growth of 15% (vs +16% q/q in 4Q'25 and +17% q/q in 4Q'24). Assuming Meta reports 3Q at the high end of the guidance range (at $61-64bn), we expect an outlook with a low end at $71.5bn (up 19% y/y, +12% q/q) and high end at $74.5bn (up 24% y/y or +17% q/q). Elevated oil prices, evolving geopolitical situation, rising interest rates and competition from TikTok and OpenAI ads ramp are modest risks to q/q growth trends.

FY26 expense increase largely reflects one-time legal charges

On 2Q call, Meta raised FY26 expense guide of $165-$169bn (from $162-$169bn) due to onetime legal charge of $2.4bn. Including the one-time $10bn accrual expected in 3Q, we think Meta could raise FY26 outlook by approx. $9-$10bn to $175-$177bn, potentially narrowing the underlying expense range and signaling modest reduction of

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the midpoint ex-legal charge. Expense positives could include benefits from the headcount reduction in May'26 while negatives could include greater use of rental capacity for model training and Muse adoption.

Job postings data from Meta Careers indicates average job openings increased 33% q/q in 3Q (vs down 49% q/q in 2Q). This suggests Meta has resumed hiring after a sharp pullback in 2Q, likely reflecting continued investment across key growth areas. We expect 3Q'26 headcount to decline 11% y/y (or down 7% q/q) to 70,189 (vs Street 72,188 due to May layoffs. Our review of open roles suggests hiring remains concentrated in AI data and analytics, data center operations, and infrastructure, consistent with Meta continuing to prioritize AI and infrastructure investments while managing overall expense growth.

Raising FY27 capex estimates for incremental AI infrastructure needs

Our FY26 capex estimate of ~$138bn remain unchanged and we think Meta could narrow the range to $135-$145bn (from $130-$145bn). For 2027, we are raising our capex estimate to reflect incremental infrastructure and capacity requirements associated with the scaling Muse and the new enterprise AI unit. We now expect 2027 Capex of $205bn (vs $192bn previously & Street $195bn).

Press reports from mid-Sep suggested Meta plans to deploy its third-generation MTIA 450 chips, or Arke, in 1H'27, followed by higher-performance MTIA 500, or Astrid, beginning in late 2027. The report suggested Meta expects to deploy more than 1 GW of custom-chip capacity over 12 months, with adoption accelerating thereafter. Given Alphabet's success with TPUs, we think custom silicon remains strategically important for Meta's AI roadmap, with the potential to significantly lower long-term AI infrastructure costs and improve returns on capex. If we assume Meta is planning to deploy 5-6GW of owned capacity in 2027 at a cost of $200bn, and chips are 60% of the cost, then deploying own custom chips (assuming a 40% cost savings vs 3rd party chips) could generate ~$8.5bn cost savings.

Key Areas to address on call

Muse adoption and monetization

We think a key focus of the call will be early adoption of Muse, as well as costs to serve users (100mn weekly token allowance, see below) the initial monetization framework. Street will likely look for some disclosure on user engagement, retention and types of tasks gaining the most traction. Commentary on how Muse is improving content discovery or increasing activity across Meta's apps could help the Street assess its longer-term revenue potential. We also expect interest in how Meta plans to monetize Muse through commission, subscriptions, paid premium features, commerce and advertising. Greater visibility into the product roadmap & monetization could strengthen confidence that Muse can develop into a meaningful new engagement and revenue platform.

Enterprise AI opportunity

We think Street would welcome greater visibility into Meta's enterprise AI initiatives and how the company plans to differentiate its offerings in an increasingly competitive market. Key areas of interest will likely include distribution strategy, early enterprise feedback and the pipeline for potential deployments, including potential partnerships with hyperscalers and enterprise software platforms. Commentary suggesting strong enterprise demand, improving inference economics and a credible path from pilots to scaled commercial deployments could increase confidence in enterprise AI becoming a meaningful revenue contributor over time.

LLM strategy and monetization

Metas new Muse Wonder models has materially narrowed the intelligence gap top frontier models, we think the focus will shift from model capabilities to distribution and monetization. Street will likely seek clarity on Meta's go-to-market strategy, early

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developer and enterprise adoption trends. Commentary on the cadence of future model releases, training and inference efficiency, and the role of internally developed models across Meta's product portfolio will also be important.

Custom chip efforts and impact on AI infrastructure economics
We think company's progress with scaling custom silicon and the potential impact on long-term infrastructure economics will also be a key focus for the call. Key areas of interest will likely include deployment timelines, the workloads shifting to MTIA and the cost advantage versus third-party accelerators. Evidence that MTIA can deliver competitive performance while materially lowering compute costs could improve AI infrastructure economics, reduce reliance on third-party chips and strengthen returns on Meta's elevated capex investment.

Business Agents and paid messaging
We think Street will also focus on whether early adoption of business agents can drive higher messaging engagement and accelerate paid messaging growth. Key areas of focus will likely include merchant adoption, consumer engagement and whether agents can expand beyond customer service into product discovery and commerce. Evidence that agents are driving more valuable interactions and increasing business messaging activity, along with a clearer path to monetization, could reinforce messaging as an increasingly important driver of Meta's medium-term revenue growth.

Use of capacity and capacity ROIs
Meta is investing in compute capacity to actively train frontier level models, drive its content and ad systems, and power Muse usage at up to 100mn tokens a week (which could cost ~$50/per user/week assuming blended ~$0.50 cost per million tokens). If Muse continues to ramp, there may not be opportunity to lease capacity to 3rd parties and drive near-term revenue upside. We would expect questions on how Meta plans to allocate capacity in the future, and why ROIs on capacity use for LLM development, Muse, or ad systems could be higher than leasing capacity to 3rd parties.

Potential for expense/EPS pressure in 2027 on AI investments
Reuters has estimated that Meta could be building up to 7GW of capacity in 2027, which could represent well over $200bn in capex spend and drive higher future depreciation. Other cost pressures include capacity contracts with neoclouds, growing data center operations, higher R&D personnel costs, and higher token costs from use of external models. Street estimates call for operating profit to grow ~20% y/y in 2027, and concerns could grow on Meta's ability to meet profit expectations if the company indicates plans to increase AI investment spend. We would expect questions on Meta's profit growth potential in 2027.

Potential 3Q call positives could include:

1. 3Q ad revenue upside and 4Q guidance above the high end of Street, which suggest AI driven benefits for the core business continue,
2. Disclosures on Muse downloads and DAUs, suggesting stronger-than-expected adoption and engagement,
3. Greater detail on Meta's enterprise AI opportunity and potential monetization paths,
4. Any commentary suggesting 2027 capex or expense growth in line with expectations, given concerns on AI investment,
5. Commentary suggesting improving compute efficiency, enabling Meta to support higher AI workloads without a commensurate increase in infrastructure costs,

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6. Commentary suggesting positive early demand signals for the Meta Model API and Muse Code, and

3Q'26 risks include:

1. In-line or miss on 3Q ad revenue, or softer-than-expected 4Q guide reflecting macro pressure, competition or moderating AI-driven ad gains,
2. Higher-than-expected 3Q depreciation growth or lower y/y gross margins, weighing on the forward margin outlook,
3. Commentary suggesting another step-up in expense growth in 2027, particularly from AI infrastructure (internal and external) and talent investments,
4. Commentary suggesting potential near-term margin pressure driven by rapid Muse adoption and a broader rollout,
5. Commentary suggesting capex dollar growth larger in 2027 than 2026, raising concerns around future margin and EPS growth, and need to raise capital,
6. Limited incremental disclosure on AI monetization pathways, adoption metrics or new AI products given increasing optimism around recent product launches,
7. Additional legal reserves or regulatory costs related to teen-safety litigation,
8. A larger-than-expected EU revenue headwind from the shift toward less-personalized advertising,
9. Below Street revenue outlook that could raise concerns on competitive pressure form OpenAI ad ramp or TikTok

On 3Q earnings call, we expect questions on:

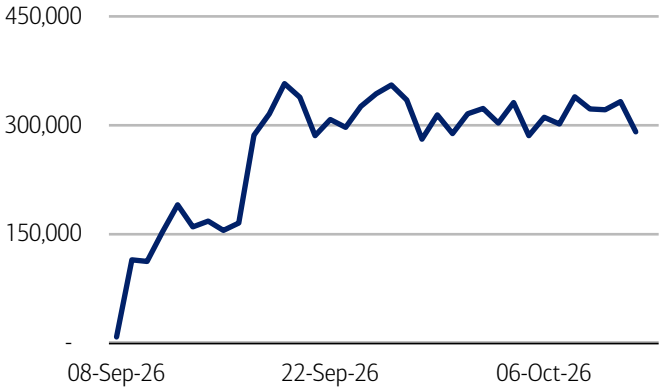
1. QTD revenue trends, 4Q demand environment and the impact of macro and evolving geopolitical conditions,
2. Sustainability of AI-driven improvements in ad targeting and engagement, and the expected contribution to core ad revenue growth in 2027,
3. Initial Muse adoption & engagement, along with plans for broader rollout,
4. Revenue potential from new AI offerings, including model APIs, consumer subscriptions, Business Agents and enterprise AI products,
5. Opportunity for Meta's new Enterprise Platform, including go-to-market plans and the potential revenue opportunity across APIs and enterprise applications
6. Timing of new data-center capacity coming online and the role (and cost of) of third-party partnerships in supporting compute requirements,
7. Potential for AI-driven productivity gains, including coding efficiencies, and the resulting impact on 2027 operating expenses,
8. Impact of growing Muse adoption on infrastructure requirements and inference costs, as well as the expected return on incremental investment,
9. Progress on custom silicon and the potential implications for compute costs, infrastructure efficiency and future capex intensity,
10. Launch timing, capabilities and product integration plans for more advanced frontier models under development.

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Muse DAUs & Downloads (Sensor Tower)

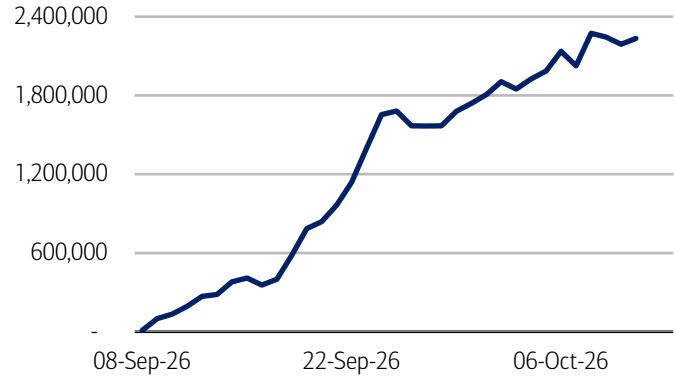
Muse surpassed 8.9mn downloads and 2.23mn DAUs as of Oct 12.

Exhibit 4: Muse downloads reached 8.9mn (Sep 8 – Oct 12)
Muse Daily Downloads



Source: Sensor Tower
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Exhibit 5: Muse daily active users reached 2.23mn as of Oct 12
Muse Daily Active App Users

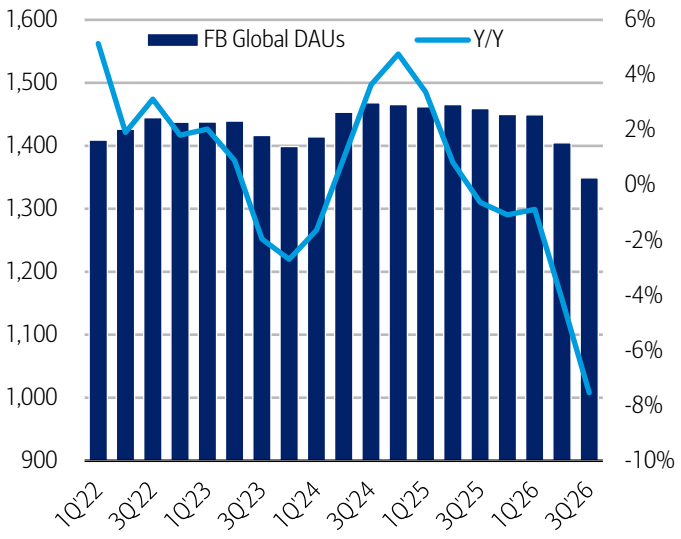


Source: Sensor Tower
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User Trends

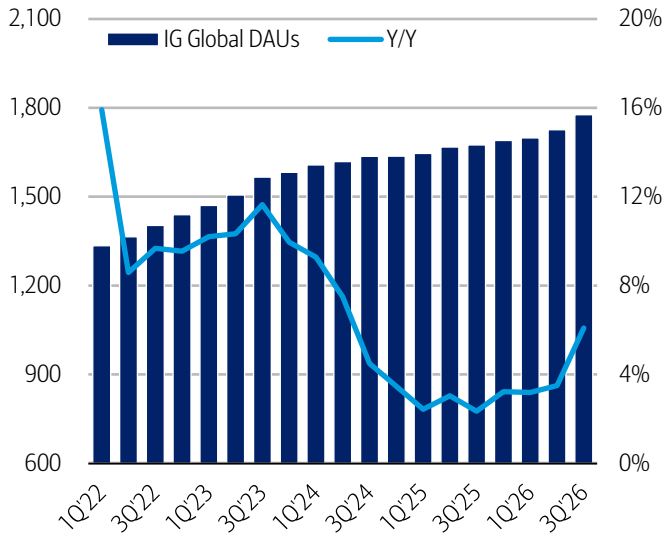
Per Sensor Tower, Facebook's global DAUs were down 8% y/y (down 4% q/q) in 3Q'26. US DAUs were down 9% y/y (down 6% q/q) and Int'l DAUs were down 7% y/y (down 4% q/q). Instagram's global DAUs were up 6% y/y (up 3% q/q) in 3Q'26, with US DAUs were up 0.5% y/y (up 2% q/q) and Int'l DAUs were up 7% y/y (up 3% q/q).

Exhibit 6: Facebook global DAUs were down 8% y/y in 3Q'26
Facebook Global DAU Trend (mn, %)



Source: Sensor Tower
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Exhibit 7: Instagram global DAUs were up 6% y/y in 3Q'26
Instagram Global DAU Trend (mn, %)



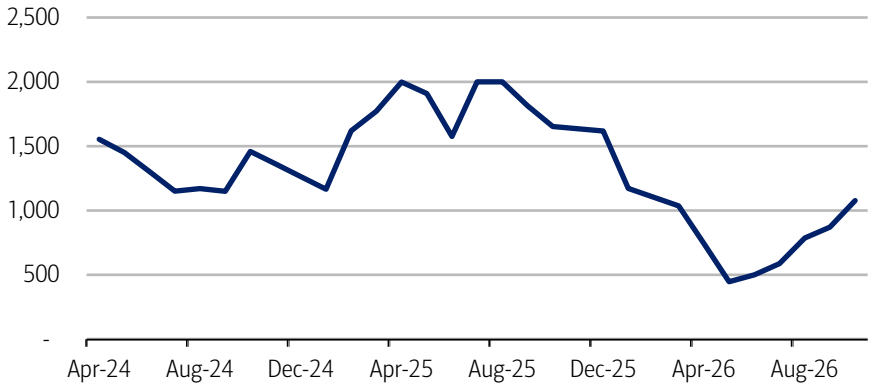
Source: Sensor Tower
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Meta Job Postings

Job postings data from Meta Careers indicates average job openings increased 33% q/q in 3Q (vs down 49% q/q in 2Q). This suggests Meta has resumed hiring after a sharp pullback in 2Q, potentially reflecting continued investment across key growth area. Following the elimination of approximately 8,000 roles in May, we expect 3Q'26 headcount to decline 11% y/y (or down 7% q/q) to 70,189 (vs Street 72,188 down 8% y/y). Our review of open roles suggests hiring remains concentrated in AI data and analytics, data center operations, and infrastructure, consistent with Meta continuing to prioritize AI and infrastructure investments while managing overall expense growth.

Exhibit 8: In 3Q, avg. number of openings were up 33% q/q (vs down 49% in 2Q)
Meta Global Job Postings



Source: Meta Careers

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Currency Update

In 2Q'26, Meta generated 44% of revenue in US/Canada, 24% in Europe, 18% in Asia, and 14% in RoW, and has exposure to the Euro, GBP, Yen, and Australian dollar, among others. Since Meta reported 2Q'26 results on 7/29, the Euro/US$ has depreciated 2% to $1.12, the UK Pound/US$ is flat at $1.32 and the Yen/US$ is up 3% to $0.0063. On a Y/Y basis, for 3Q'26, the Euro was down 2% vs the US$, the GBP was relatively flat, and Yen was down 7%, and other currencies in the basket we track were up 2%. We estimate approx. 1pt FX headwind in 3Q'26 (same as Meta's guide) & 4Q (vs Street 0.2pt).

Exhibit 4: We estimate approx. 1pt FX headwind in 3Q'26 and 4Q'26
Expected Y/Y % change in spot rates based on current rates

	Y/Y Change			
	Euro	GBP	Yen	Other
2Q25	5%	6%	8%	2%
3Q25	6%	4%	1%	3%
4Q25	9%	4%	(1%)	6%
1Q26	11%	7%	(3%)	11%
2Q26	3%	1%	(9%)	6%
3Q26	(2%)	(0%)	(7%)	2%
4Q26E	(4%)	(0%)	(3%)	0%
1Q27E	(4%)	(2%)	(1%)	(2%)
2Q27E	(4%)	(1%)	1%	(3%)

Source: Bloomberg; *Other includes the following: Asian (KRW, AUD, HKD, INR, CNY), Europe (SEK, CHF)

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Valuation

At ~$737, Meta is valued at 22x our 2027 GAAP EPS estimate. However, if we back out ~$19bn in estimated 2027 Metaverse losses, we get to an adjusted valuation at 18x 2027 GAAP earnings below the S&P 500 at 21x (assuming 2027 EPS of $375).

Exhibit 5: At ~$737, Meta is valued at 22x our 2027 GAAP EPS estimate
Meta sum-of-the-parts analysis

2027E Sum of Parts P/E $mn, except per share data		
Stock Price	$736.72	Comments
+ Net Cash (YE'26)	($28,115)	
+ Facebook Reality Labs	$0	Taking a conservative view, we assume no value for Reality Labs
Total Adjustments	($28,115)	
Diluted shares (YE'26)	2,567	
Total Adjustments per share	($11)	
Adjusted stock price for cash	$748	
2027E non-GAAP EPS	$46.62	
FB core Adjusted non-GAAP EPS (ex-RL)	$52.90	Adding back $19bn in RL losses and assuming a 15% tax rate
2027E GAAP EPS	$34.24	
FB core Adjusted GAAP EPS (ex-RL)	$40.67	Adding back $19bn in RL losses and assuming a 15% tax rate
2027 FCF/Share	($11.54)	
Current GAAP 2027E P/E	22x	
Core FB Adjusted GAAP 2027E P/E	18x	
Current GAAP 2027E ex-cash P/E	22x	
Price/FCF	NM	

Source: BofA Global Research Estimates

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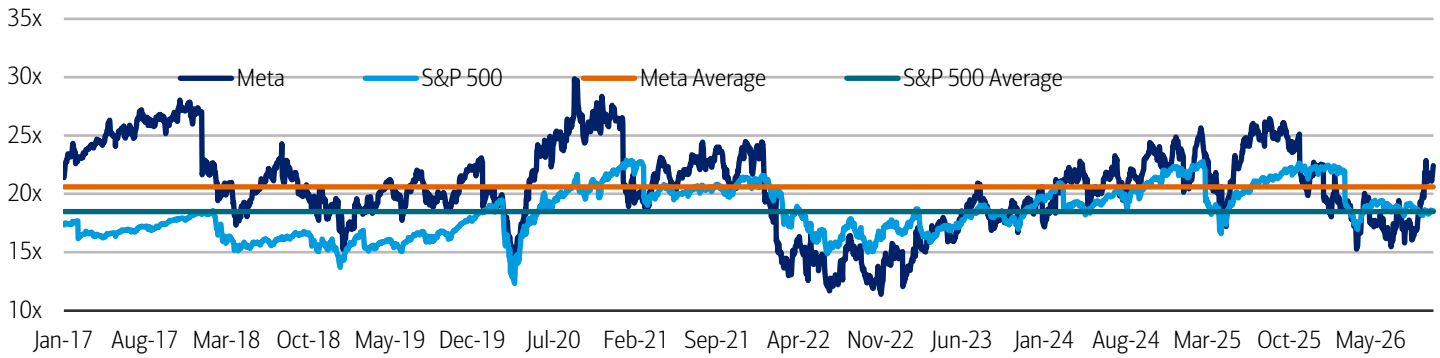
Current vs historical averages

At ~$737, Meta is valued at 22x Street's 2027 GAAP EPS estimate (~19x 2028 GAAP EPS). We continue to see current valuation as attractive, with potential for upside given large AI opportunity, above industry ad growth, and strong financial position for AI. We think Meta's improving LLM capabilities and growing traction of new AI consumer products could support higher multiple. Historically Meta has traded 2.5pts premium to S&P 500 (currently valued at 21x 2027 EPS).

2yr Forward GAAP P/E Multiple

At stock price of ~$737, Meta is valued at 22x Street 2yr forward GAAP P/E, slightly above its historical average of 21x since 2017.

Exhibit 11: Meta is valued at a 2yr forward GAAP PE multiple of 22x (slightly above its historical average since 2017)
Meta 2yr Forward GAAP PE (2017 – Present)



Source: Bloomberg

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3Q product & company news

Meta launches frontier level models (Muse Wonder and Wonder Full)
This week, Meta Superintelligence Labs (MSL) released two new models, Muse Wonder and Muse Wonder Full. According to benchmark scores from Artificial Analysis, the Muse Wonder model is scoring well on intelligence and speed vs leading frontier models. While Meta's previous Muse Spark model was optimized for lightweight, low-latency tasks, the Wonder models are larger with higher benchmark scores and stronger performance on complex tasks, including coding and agentic workflows. Muse Wonder is available through the Meta Model API and Muse Code, priced at $4 per 1mn input tokens and $20 per 1mn output tokens. Muse Wonder Full is available only to Muse Code subscribers. Muse Wonder will also power Meta's Muse personal agent, initially for subscribers. *Our Take: Artificial Analysis' intelligence index scores Muse Wonder Full at 56 for intelligence, which compares well to 53-58 scores for leading frontier models from other AI labs (see Exhibit 1). Releasing a frontier level model just 16 months after formation of Super Intelligence Labs is a meaningful accomplishment, in our view & should help maintain positive sentiment on Meta's recent AI initiatives. See: Making progress on the frontier*

Meta launches enterprise platform led by MongoDB CEO

Meta announced the formation of Meta Enterprise Platform, a new business unit focused on bringing the company's AI capabilities to enterprise customers and developers. CEO Mark Zuckerberg described the initiative as the next major pillar of Meta's business. The initial offering will span the Muse agent, Meta Business Agent, Muse API and Muse Code, leveraging Meta's advanced models, agent capabilities and large-scale infrastructure. Meta has hired MongoDB CEO Chirantan CJ Desai to lead the initiative as Chief Enterprise Platform Officer, and we think he would be focused on driving product sales. *Our Take: While not unexpected, Meta's Enterprise AI solutions launch could introduce a more durable, less macro-sensitive monetization revenue stream for Meta. The enterprise AI solutions market, including cloud capacity, is expected to exceed $1trn by 2028, and we think Meta's consumer data and communications apps could give Meta's advantages for AI enterprise sales to consumer-focused companies. We would expect distribution of Meta's model APIs on leading hyperscaler platforms. See our note: Enterprise entry with new leader.*

Meta launches Muse personal AI agent
On Sep 8, Meta launched Muse, a personal AI agent powered by Muse Spark. Muse can handle multi-step tasks such as sending emails, booking travel, filling out forms, and making purchases. The agent runs on a dedicated secure virtual machine and can continue working after users leave the app. Muse launched in the US across iOS, Android, web, and WhatsApp, with a free tier and paid plans priced at $20 and $100 per month. *Our Take: Muse is an important test of Meta's ability to turn its AI investments into a differentiated consumer product. Early reviews suggest Muse's functionality is resonating with users, particularly agent's ability to execute multi-step tasks and workflows with limited user intervention. We think investors were concerned about Meta's ability to build a differentiated AI product, but have been positively surprised with agentic functionality, driving more optimism on Meta's potential AI investment returns. While feedback has been positive, privacy and trust remain key considerations for broader adoption. See our note: Muse capabilities improving sentiment on AI vision.*

Meta plans 1H27 deployment of in-house Arke AI chips
er Bloomberg, Meta plans to deploy its third-generation MTIA 450 chips, or Arke, in 1H'27, followed by higher-performance MTIA 500, or Astrid, beginning in late 2027. Developed with Broadcom, the custom chips are purpose-built for AI inference & designed to improve compute efficiency. Meta expects to deploy more than 1 GW of custom-chip capacity over 12 months, with adoption accelerating thereafter. The report also noted that the company considered developing a chip capable of handling both AI training and inference. However, Meta canceled the project after determining that the

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design could cost approximately 30% more, limiting its economic viability at scale. *Our Take: Given Alphabet's success with TPUs, we think custom silicon remains strategically important for Meta's AI roadmap, with the potential to significantly lower long-term AI infrastructure costs and improve returns on capex. If we assume Meta is planning to deploy 5-6GW of owned capacity in 2027 at a cost of $200bn, and chips are 60% of the cost, then deploying own custom chips (assuming a 40% cost savings vs 3rd party chips) could generate ~8.5bn cost savings. See our note: Custom AI chips expected to enter deployment in 2027.*

Meta launches Meta One subscription service

In mid-Sep, Meta launched Meta One, a global subscription offering bundling advanced AI capabilities, customization features and creator tools. The service provides subscribers with higher AI usage limits and access to more specialized AI functionalities. The service debuted globally with more than 50 features, and Meta highlighted that existing subscription offerings have already generated 15mn subscribers & trials. Consumer plans range from $2.99 per month for individual apps to $19.99 for Premium bundle, which offers higher limits for AI image and video generation. Creator and business plans range from $14.99 to $499 per month, with higher tiers providing features like content scheduling, audience analytics & greater Meta Business Agent capacity. *Our Take: The 15mn subscriptions data point provides a constructive early demand signal. We think Snapchat Plus ~5.5% DAU penetration also provides a positive benchmark for Meta's subscription opportunity. Assuming global ARPU of ~$10 per month, each 1% subscription conversion rate (~36mn users) could represent ~$4.3bn in incremental annual revenue (~1.2% upside to Street's 2028 revenue estimates). While still early, we think improving visibility into subscriber growth, retention and ARPU metrics could increase confidence in Meta's AI Monetization. See our note: Meta One unifies premium AI and social features.*

Muse shares spotlight with glasses at Connect 2026

At Connect 2026, Meta's CEO Mark Zuckerberg led the keynote with Muse, putting the recently launched personal agent at the top of the agenda for the event. Meta highlighted Muse as a key milestone in its strategy to bring personal intelligence to everyone and noted strong initial consumer traction ("the response has been incredible") and several upcoming product upgrades. The company also highlighted strong partner momentum, with new partnerships including Walmart, Best Buy, Shopify, Expedia, Instacart, etc. Meta is also bringing Muse to smart glasses, enabling voice-driven assistance across use cases such as communication, workouts, shopping, etc. Importantly, Meta provided a view into the Muse monetization strategy, Meta plans to monetize the agent through a take rate model (no take rates currently), capturing a commission on transactions completed through the agent. *Our Take: Muse seems off to a strong start with user and partner momentum, and Meta is actively building awareness. We expect Muse integration across all Meta products, and integration with Reality Labs devices (see below) could be a "killer app" that Meta RL hardware has been missing. We would look for greater Muse integration with Facebook and Instagram in the future. See our note: Impressive display at Connect.*

Meta expands smart glasses portfolio

On the hardware side, Meta outlined a broad expansion of its portfolio. Key launches included: 1) 3rd generation Ray-Ban Meta smart glasses with improved battery life and other enhancements, 2) New ultralight camera-free audio glasses that are lighter and have longer battery life, 3) Additional smart glasses designs (Aviators, Zena, etc.), expanding consumer choice across styles. The big reveal, in our view, was the introduction of a significantly lighter alternative to traditional VR headsets, with new VR glasses weighing ~100g, ~1/5th the weight of Quest 3. The new glasses will be priced at $1,299 and are expected to begin shipping in spring, feature immersive displays and VR/AR capabilities for gaming, movies and virtual work screens. *Our Take: In our demo of the VR glasses at Connect we were impressed with both the immersive media experience*

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(3D visuals at concerts, sporting events) and productivity capabilities (virtual keyboard and work monitors). We think these glasses are still not a mass market candidate at $1,299, but a big step forward towards driving adoption as the user is not disconnected with reality (you can see through them) and the form factor is much improved. Also, while cost of the VR glasses was not provided, at $1,299 we think Meta is trying to engineer and price RL hardware to be more financially focused (near breakeven). Finally, the audio only glasses have the look (no cameras), shape and weight of traditional glasses, with big added functionality including Muse, music, voice calling, and hearing assistance that should be big selling points. We think this was a good year for RL innovation. See our note: Impressive display at Connect.

Meta introduces Muse Spark 1.3 model

In early Sep, Meta released Muse Spark 1.3, an updated model designed to improve performance across coding and agentic tasks. The model is available through Muse Code and the Meta Model API, with an additional max reasoning mode planned following further safety testing. Meta indicated Muse Spark 1.3 can sustain longer-running tasks, manage multiple workflows within a single thread and generate context from varied sources. The company highlighted that the new model also follows complex instructions more reliably, maintains detailed requirements across multi-step tasks & has improved awareness of its capabilities and limitations. *Our Take: The release of new model just a month after MuseSpark 1.2 suggests a strong pace of AI development at MSL. We think agentic model improvements are especially noteworthy. See our note: MuseSpark 1.3 improve performance across agentic tasks.*

Meta's custom chip deployments could reach 3GW by 2028

Broadcom (on its 2Q'26 earnings call) said it expects to deliver three generations of Meta's Training and Inference Accelerator (MTIA) through 2027, with visibility into 3GW of deployments through 2028 (which could represent 15-20% of total capacity). Production shipments of Meta's custom chip, optimized for inference and recommendation workloads, are expected to begin in 4Q'26. The update builds on the Apr'26 announcement of a multiyear partnership extending through 2029, with the initial commitment exceeding 1GW as part of a broader multi-gigawatt infrastructure rollout. *Our Take: Meta is pursuing a portfolio approach to silicon, combining internally developed chips with partner solutions to optimize performance, flexibility and cost. Given the strategic advantage demonstrated by Alphabet's TPUs, we think custom silicon remains strategically important for long-term AI costs & product development. See our note: AI progress gaining visibility across models and chips.*

Meta launches Muse for Small Business with third-party integrations

In late Sep, Meta launched Muse for Small Business to help owners run their businesses and find new customers, extending Muse beyond consumer use into business productivity. The agent can connect to tools such as Shopify, QuickBooks, Stripe, Canva, Slack and Zoom, as well as Facebook Pages, Instagram professional account analytics, and Meta ad accounts. By connecting to these tools, Muse can understand what businesses sell, their brand voice, and what customers commonly ask, helping owners analyze performance, improve campaigns, and plan for growth. Meta said Muse will require user approval before publishing content, sending messages or spending money. The product will remain free for most uses, with paid plans offering additional features.

Meta acquires Stilla.ai to strengthen business agent capabilities

In early Sep, Meta acquired Swedish AI agent startup Stilla.ai to accelerate development of Meta Business Agent across WhatsApp, Messenger, and Instagram. Stilla.ai builds workplace AI agents that retain context from connected tools such as Slack and GitHub, allowing them to answer users' questions and complete multi-step tasks across different systems. The acquisition could help Meta Business Agent handle more complex customer service and commerce workflows across its messaging platforms.

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Meta unveils Petal transatlantic subsea cable system

In late September, Meta announced Petal, a subsea cable connecting the US and France across approximately 7,000 kilometers, or more than 4,300 miles. The system is expected to enter service in 2029 and will be the first transoceanic cable designed to deliver one petabit per second of capacity. Meta said Petal will use multi-core fiber technology and provide twice the capacity of currently available advanced transoceanic cables without a proportional increase in power consumption or physical infrastructure. The company is developing the cable in partnership with NEC and Sumitomo Electric Industries, while Orange will support plans to land the system on France's Atlantic coast. Meta said subsea cables carry approximately 99% of intercontinental internet traffic.

Meta introduces Creator Marketing Hub

In mid-Sep, Meta launched Creator Marketing Hub as a single platform for brands to find creators, manage content permissions, and create partnership ads across Facebook and Instagram. The hub will add Meta's AI Business Assistant to help advertisers find creators and understand recommendations. Meta is also adding Partnership ads to the Meta Ads MCP Connector, allowing advertisers to create and manage campaigns through compatible AI agents. Starting Sep 29, brands can also promote creators' Instagram livestreams as partnership ads.

Meta opens WhatsApp business tools to third-party AI agents

In mid-Sep, Meta launched WhatsApp Business Tools MCP, which lets developers use AI agents such as Cursor, Codex, and ChatGPT to set up and manage WhatsApp Business. Developers can ask an AI agent to create business accounts, verify phone numbers, register access to Cloud API, and create message templates. The launch should simplify and speed up WhatsApp Business setup and management from having developers switch between several Meta developer tools.

Meta settles teen-safety case with State AGs

Meta announced an agreement with a bipartisan group of 52 US attorneys general covering teen-safety protections across its applications. The agreement includes a payment of ~$18bn ($7/Meta share) distributed in annual installments over a 10-year period. Participating states will receive ~70% (~$12.7bn) of the payment and the remaining 30% (~$5.3bn) will be released if two specific conditions are met: 1) YouTube and TikTok implement a one-hour Daily Limit, Night Mode, and age assurance measures, 2) YouTube and TikTok each pay an amount matching the 30% figure. As part of the settlement, Meta also agreed to implement multiple additional teen-safety measures and parental controls, including default daily usage limits, nighttime restrictions and muted notifications during school hours. The company expects to accrue a legal expense of ~$10bn in 3Q'26. *Our Take: We believe the settlement reduces regulatory uncertainty, concerns on a large jury verdict, and will enable Meta stock to better reflect AI catalysts ahead. See our note: Meta settlement avoids jury verdict, opens door for AI catalysts.*

Meta releases open-weight Muse Glimmer AI model

In early Aug, Meta released Muse Glimmer, a 30bn-parameter open-weight AI model designed to run locally on consumer hardware. Meta stated that the model is optimized for agentic workflows, coding, tool use and multimodal applications, while being compact enough to operate on a Mac or PC equipped with a single consumer graphics processor. The company released the model's weights under an Apache 2.0 license, enabling developers to download, modify and deploy it independently. The model was trained using distillation techniques derived from the company's larger Muse Spark system. Alongside the launch, CEO Mark Zuckerberg also published a policy essay advocating broader availability of advanced AI capabilities and contrasting Meta's open-weight approach with AI systems that remain tightly controlled. Meta also indicated plans to release weights for Muse Spark 1.2. *Our Take: The launch could help expand developer adoption and strengthen Meta's position within the broader AI ecosystem. We*

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think open-weight models can serve as an effective distribution channel while complementing Meta's proprietary AI offerings.

Meta launches Muse Code coding agent

In early Aug, Meta released an early beta version of Muse Code, its first AI coding agent, alongside the coding-focused Muse Spark 1.2 model. Meta stated that Muse Code is designed to perform software engineering workflows including planning code changes, writing code and validating results. The product is available through a pay-as-you-go model and supports management of multiple AI-powered sub-agents for software development tasks. Muse Code was developed and trained together with Muse Spark 1.2 to improve coding performance.

Meta expands creator-led commerce initiatives across APAC

In mid-Aug, Meta launched new commerce initiatives aimed at expanding creator-led shopping activity across the Asia-Pacific region. The company highlighted increased use of creator partnerships, affiliate programs and AI-powered commerce tools designed to connect product discovery & purchase. Meta stated that more than 10mn APAC creators connected Facebook accounts to retail partners over the prior year, including Shopee, Lazada, Flipkart and Myntra. The company also disclosed that creators generated more than $24mn in affiliate commissions during a recent four-week period across Facebook and Instagram.

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Appendix - Time Spent per User Trends

US/North America

In September, Instagram US time spent was up 12% y/y to 58mins and FB was down 10% y/y to 34mins.

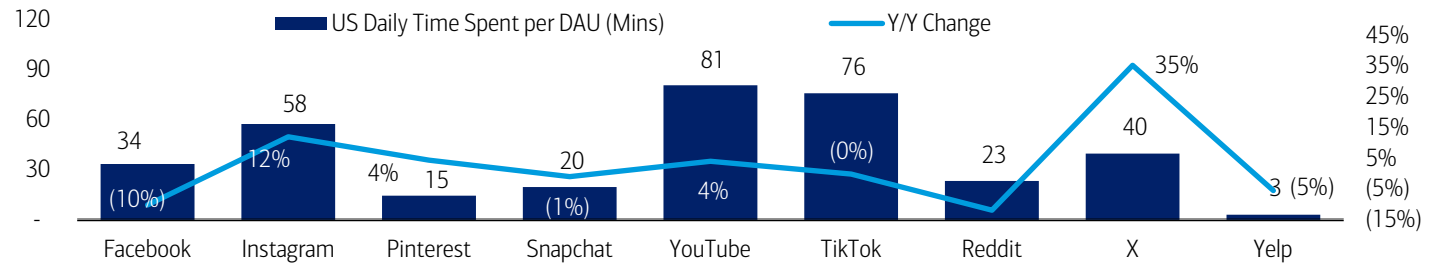
Exhibit 5: In September, Instagram US time spent was up 12% y/y to 58mins and FB was down 10% y/y to 34mins
US Average Daily Time Spent per DAU Estimates (Minutes)

Company	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26	Aug-26	Sep-26
Facebook	36	37	37	36	37	37	37	36	36	35	35	35	34	34
y/y %	*3%*	*7%*	*7%*	*2%*	*2%*	*3%*	*(1%)*	*(0%)*	*(2%)*	*(5%)*	*(6%)*	*(6%)*	*(6%)*	*(10%)*
m/m %	*(1%)*	*3%*	*(1%)*	*(3%)*	*2%*	*2%*	*(2%)*	*(1%)*	*(2%)*	*(3%)*	*0%*	*(0%)*	*(1%)*	*(2%)*
Instagram	51	51	52	53	55	55	56	57	58	58	58	59	58	58
y/y %	*14%*	*15%*	*16%*	*15%*	*18%*	*14%*	*12%*	*15%*	*15%*	*13%*	*10%*	*13%*	*13%*	*12%*
m/m %	*(1%)*	*0%*	*2%*	*1%*	*5%*	*0%*	*1%*	*1%*	*2%*	*1%*	*(1%)*	*2%*	*(1%)*	*(0%)*
Pinterest	13	14	13	14	15	16	17	15	15	16	17	18	16	15
y/y %	*4%*	*12%*	*7%*	*9%*	*14%*	*20%*	*28%*	*17%*	*22%*	*22%*	*34%*	*32%*	*15%*	*4%*
m/m %	*(1%)*	*3%*	*(4%)*	*4%*	*8%*	*4%*	*7%*	*(9%)*	*1%*	*2%*	*12%*	*3%*	*(13%)*	*(6%)*
Snapchat	20	20	20	20	21	21	21	21	20	20	21	21	20	20
y/y %	*(11%)*	*(9%)*	*(7%)*	*(10%)*	*(5%)*	*(4%)*	*(5%)*	*(3%)*	*(5%)*	*(6%)*	*(3%)*	*(1%)*	*(0%)*	*(1%)*
m/m %	*(4%)*	*(3%)*	*2%*	*(1%)*	*4%*	*(1%)*	*0%*	*(0%)*	*(1%)*	*(2%)*	*4%*	*1%*	*(3%)*	*(3%)*
YouTube	79	78	78	77	82	82	82	85	84	84	87	87	84	81
y/y %	*2%*	*3%*	*3%*	*1%*	*5%*	*5%*	*5%*	*9%*	*8%*	*8%*	*8%*	*7%*	*6%*	*4%*
m/m %	*(2%)*	*(2%)*	*0%*	*(1%)*	*6%*	*0%*	*0%*	*4%*	*(1%)*	*0%*	*3%*	*(0%)*	*(3%)*	*(4%)*
TikTok	78	76	78	78	80	79	78	79	80	80	82	84	81	76
y/y %	*(2%)*	*3%*	*5%*	*2%*	*6%*	*7%*	*3%*	*6%*	*6%*	*2%*	*3%*	*5%*	*4%*	*(0%)*
m/m %	*(3%)*	*(2%)*	*3%*	*(1%)*	*4%*	*(1%)*	*(1%)*	*1%*	*0%*	*0%*	*3%*	*2%*	*(4%)*	*(6%)*
Reddit	26	27	26	25	26	27	26	25	25	24	24	24	24	23
y/y %	*(5%)*	*(3%)*	*(6%)*	*(11%)*	*(6%)*	*(6%)*	*(9%)*	*(9%)*	*(8%)*	*(10%)*	*(11%)*	*(10%)*	*(11%)*	*(12%)*
m/m %	*(2%)*	*0%*	*(1%)*	*(5%)*	*4%*	*3%*	*(2%)*	*(3%)*	*(1%)*	*(3%)*	*(2%)*	*2%*	*(3%)*	*(1%)*
X	28	29	29	29	30	33	32	33	33	32	31	33	37	40
y/y %	*(9%)*	*(0%)*	*(1%)*	*(5%)*	*6%*	*10%*	*8%*	*15%*	*14%*	*14%*	*4%*	*15%*	*33%*	*35%*
m/m %	*(5%)*	*6%*	*(1%)*	*(0%)*	*4%*	*7%*	*(1%)*	*3%*	*(1%)*	*(3%)*	*(2%)*	*8%*	*10%*	*8%*
Yelp	3	3	3	3	3	3	3	3	3	3	3	3	3	3
y/y %	*(3%)*	*1%*	*(4%)*	*(4%)*	*(0%)*	*1%*	*4%*	*2%*	*(6%)*	*6%*	*(9%)*	*(6%)*	*(4%)*	*(5%)*
m/m %	*(0%)*	*0%*	*(5%)*	*(2%)*	*5%*	*(0%)*	*5%*	*(4%)*	*(1%)*	*1%*	*(3%)*	*(1%)*	*2%*	*(1%)*

Source: Sensor Tower and BofA Global Research

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Exhibit 6: In September, Instagram US time spent was up 12% y/y to 58mins and FB was down 10% y/y to 34mins
US Average Daily Time Spent per DAU Estimates (Minutes) – September 2026



Source: Sensor Tower and BofA Global Research

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International

In September, Instagram Int'l time spent was up 10% y/y to 76mins and FB was down 2% y/y to 47mins.

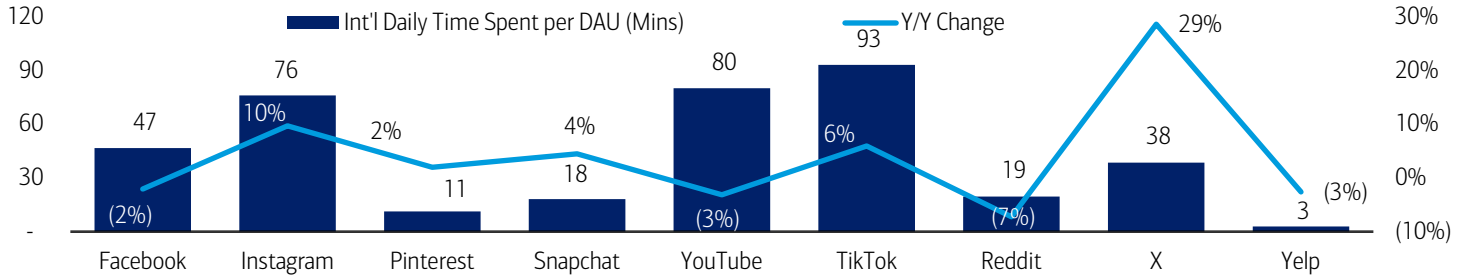
Exhibit 7: In September, Instagram Int'l time spent was up 10% y/y to 76mins and FB was down 2% y/y to 47mins
International Average Daily Time Spent per DAU Estimates (Minutes)

Company	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26	Aug-26	Sep-26
Facebook	47	48	48	45	46	46	46	47	46	45	46	47	47	47
y/y %	*0%*	*3%*	*5%*	*1%*	*0%*	*1%*	*2%*	*2%*	*(1%)*	*(3%)*	*(3%)*	*(1%)*	*(1%)*	*(2%)*
m/m %	*(0%)*	*1%*	*0%*	*(4%)*	*0%*	*0%*	*1%*	*3%*	*(3%)*	*(1%)*	*2%*	*1%*	*0%*	*(1%)*
Instagram	70	69	71	68	73	73	72	76	75	77	77	79	78	76
y/y %	*12%*	*12%*	*14%*	*10%*	*12%*	*11%*	*10%*	*12%*	*11%*	*11%*	*8%*	*13%*	*11%*	*10%*
m/m %	*0%*	*(1%)*	*2%*	*(3%)*	*7%*	*(0%)*	*(0%)*	*5%*	*(1%)*	*2%*	*(0%)*	*3%*	*(1%)*	*(2%)*
Pinterest	12	11	11	11	12	12	12	12	12	11	11	12	12	11
y/y %	*0%*	*(1%)*	*0%*	*(2%)*	*(1%)*	*(0%)*	*2%*	*1%*	*3%*	*2%*	*1%*	*2%*	*2%*	*2%*
m/m %	*0%*	*(5%)*	*2%*	*(2%)*	*6%*	*1%*	*(1%)*	*(1%)*	*(1%)*	*(1%)*	*(0%)*	*3%*	*(0%)*	*(5%)*
Snapchat	18	17	17	17	18	18	18	18	18	18	19	18	18	18
y/y %	*(8%)*	*(9%)*	*(9%)*	*(12%)*	*(7%)*	*(5%)*	*(6%)*	*(2%)*	*(4%)*	*(0%)*	*0%*	*4%*	*3%*	*4%*
m/m %	*(0%)*	*(2%)*	*0%*	*(3%)*	*6%*	*(0%)*	*(1%)*	*2%*	*(2%)*	*3%*	*2%*	*(1%)*	*(1%)*	*(1%)*
YouTube	84	83	81	80	84	84	84	84	82	83	83	83	82	80
y/y %	*2%*	*(2%)*	*(4%)*	*(5%)*	*(3%)*	*(2%)*	*(1%)*	*(1%)*	*(1%)*	*(2%)*	*(1%)*	*(1%)*	*(3%)*	*(3%)*
m/m %	*0%*	*(2%)*	*(2%)*	*(2%)*	*5%*	*1%*	*(0%)*	*(0%)*	*(2%)*	*0%*	*1%*	*(0%)*	*(1%)*	*(3%)*
TikTok	92	88	89	87	93	93	92	93	93	94	96	96	95	93
y/y %	*2%*	*2%*	*4%*	*2%*	*4%*	*5%*	*6%*	*5%*	*4%*	*2%*	*4%*	*3%*	*3%*	*6%*
m/m %	*(1%)*	*(5%)*	*2%*	*(2%)*	*6%*	*0%*	*(1%)*	*2%*	*(0%)*	*1%*	*2%*	*0%*	*(1%)*	*(2%)*
Reddit	21	21	21	20	21	22	21	21	21	21	20	20	20	19
y/y %	*(6%)*	*(3%)*	*(3%)*	*(7%)*	*(1%)*	*(3%)*	*(5%)*	*(5%)*	*(6%)*	*(8%)*	*(8%)*	*(6%)*	*(7%)*	*(7%)*
m/m %	*(2%)*	*(2%)*	*0%*	*(4%)*	*6%*	*1%*	*(2%)*	*(0%)*	*(1%)*	*(1%)*	*(2%)*	*1%*	*(3%)*	*(2%)*
X	30	30	31	31	32	34	35	36	34	34	33	35	36	38
y/y %	*(8%)*	*(0%)*	*1%*	*(2%)*	*3%*	*7%*	*12%*	*15%*	*10%*	*9%*	*5%*	*13%*	*21%*	*29%*
m/m %	*(2%)*	*(1%)*	*4%*	*(1%)*	*5%*	*5%*	*1%*	*4%*	*(5%)*	*(2%)*	*(1%)*	*4%*	*5%*	*6%*
Yelp	3	3	3	3	3	3	3	3	3	3	3	3	3	3
y/y %	*(2%)*	*3%*	*1%*	*(0%)*	*5%*	*6%*	*11%*	*7%*	*(6%)*	*11%*	*(8%)*	*(4%)*	*1%*	*(3%)*
m/m %	*(3%)*	*3%*	*(3%)*	*(3%)*	*5%*	*(0%)*	*5%*	*(4%)*	*(0%)*	*1%*	*(2%)*	*(2%)*	*3%*	*(1%)*

Source: Sensor Tower and BofA Global Research

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Exhibit 8: In September, Instagram Int'l time spent was up 10% y/y to 76mins and FB was down 2% y/y to 47mins
International Average Daily Time Spent per DAU Estimates (Minutes) – September 2026



Source: Sensor Tower and BofA Global Research

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Price objective basis & risk

Meta Platforms Inc (META)

Our $810 price objective is based on 24x 2027E GAAP EPS. On a total company basis, including Metaverse investments, our valuation is at a slight premium to the S&P 500 given Meta's relatively high growth rate and AI opportunity. Historically, Meta has traded at an average premium of 3pts to the S&P 500.

Downside risks are (1) a significant dependence on digital advertising revenue, which remains highly sensitive to macroeconomic conditions, (2) elevated spend on AI initiatives that we expect to hurt margins, (3) a growing base of fixed assets that could reduce cost flexibility in a macro downturn, (4) intensifying competition for user engagement and advertising budgets from AI-native platforms, and (5) elevated regulatory overhang from new teen safety cases or unfavorable outcomes in ongoing litigation.

Analyst Certification

I, Justin Post, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

US - Internet Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Alphabet	GOOGL	GOOGL US	Justin Post
	Alphabet	GOOG	GOOG US	Justin Post
	Amazon.com	AMZN	AMZN US	Justin Post
	Booking Holdings Inc	BKNG	BKNG US	Justin Post
	Chewy Inc	CHWY	CHWY US	Michael McGovern
	DoorDash	DASH	DASH US	Justin Post
	Ethos	LIFE	LIFE US	Michael McGovern
	Etsy, Inc.	ETSY	ETSY US	Michael McGovern
	Expedia	EXPE	EXPE US	Justin Post
	LegalZoom	LZ	LZ US	Michael McGovern
	Life360	LIF	LIF US	Nitin Bansal, CFA
	Magnite, Inc.	MGNI	MGNI US	Omar Dessouky, CFA
	Meta Platforms Inc	META	META US	Justin Post
	Navan, Inc.	NAVN	NAVN US	Nafeesa Gupta
	Peloton	PTON	PTON US	Nafeesa Gupta
	Take-Two Interactive	TTWO	TTWO US	Omar Dessouky, CFA
	Tripadvisor	TRIP	TRIP US	Nafeesa Gupta
	Uber	UBER	UBER US	Justin Post
	Unity	U	U US	Omar Dessouky, CFA
	Wayfair	W	W US	Michael McGovern
	Wix.com	WIX	WIX US	Michael McGovern
NEUTRAL				
	Airbnb	ABNB	ABNB US	Justin Post
	AppLovin	APP	APP US	Omar Dessouky, CFA
	Carvana	CVNA	CVNA US	Michael McGovern
	Coursera Inc.	COUR	COUR US	Nafeesa Gupta
	eBay	EBAY	EBAY US	Michael McGovern
	Instacart	CART	CART US	Justin Post
	Match Group	MTCH	MTCH US	Omar Dessouky, CFA
	Pinterest	PINS	PINS US	Justin Post
	Reddit	RDDT	RDDT US	Justin Post
	Roblox Corp. Class A	RBLX	RBLX US	Omar Dessouky, CFA
	Snap	SNAP	SNAP US	Justin Post
	Zillow	Z	Z US	Omar Dessouky, CFA
	Zillow Group	ZG	ZG US	Omar Dessouky, CFA

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Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
UNDERPERFORM				
	Bending Spools SpA	BSP	BSP US	Omar Dessouky, CFA
	Bumble	BMBL	BMBL US	Omar Dessouky, CFA
	Cardlytics, Inc	CDLX	CDLX US	Omar Dessouky, CFA
	Duolingo	DUOL	DUOL US	Omar Dessouky, CFA
	Ibotta	IBTA	IBTA US	Nitin Bansal, CFA
	Lyft, Inc.	LYFT	LYFT US	Justin Post
	StubHub Holdings	STUB	STUB US	Justin Post
	Yelp	YELP	YELP US	Nitin Bansal, CFA

iQmethod℠ Measures Definitions

Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 − Tax Rate) + Goodwill Amortization	Total Assets − Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations − Total Capex	N/A

Quality of Earnings	Numerator	Denominator
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt − Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense

Valuation Toolkit	Numerator	Denominator
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations − Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

iQmethod℠ is the set of BofA Global Research standard measures that serve to maintain global consistency under three broad headings: Business Performance, Quality of Earnings, and validations. The key features of iQmethod are: A consistently structured, detailed, and transparent methodology. Guidelines to maximize the effectiveness of the comparative valuation process, and to identify some common pitfalls.

iQdatabase® is our real-time global research database that is sourced directly from our equity analysts' earnings models and includes forecasted as well as historical data for income statements, balance sheets, and cash flow statements for companies covered by BofA Global Research.

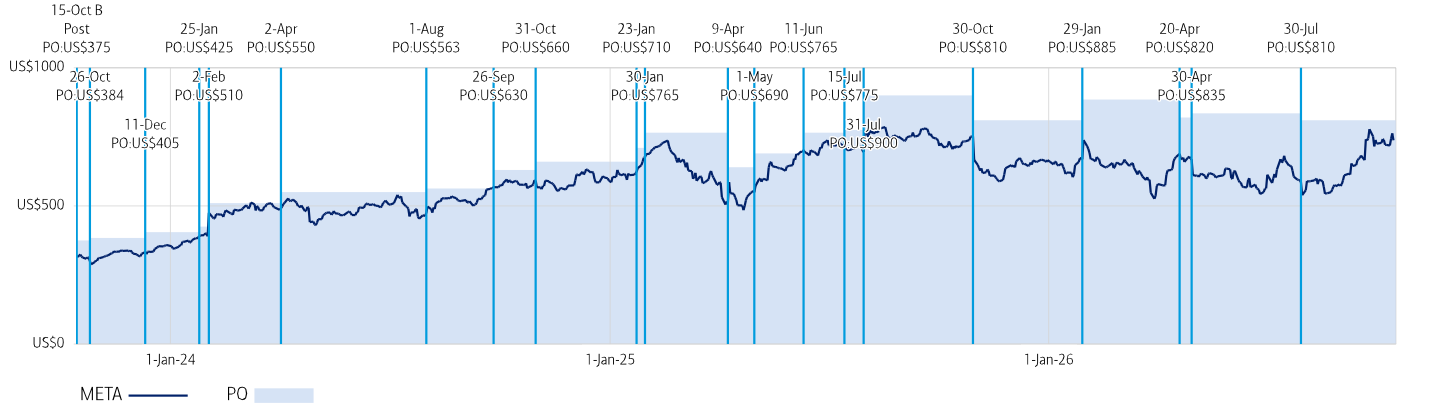
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Disclosures

Important Disclosures

Meta Platforms (META) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Equity Investment Rating Distribution: Technology Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	255	62.04%	Buy	157	61.57%
Hold	82	19.95%	Hold	46	56.10%
Sell	74	18.00%	Sell	31	41.89%

Equity Investment Rating Distribution: Global Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	2057	57.03%	Buy	1386	67.38%
Hold	806	22.35%	Hold	563	69.85%
Sell	744	20.63%	Sell	446	59.95%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

FUNDAMENTAL EQUITY OPINION KEY: Opinions include a Volatility Risk Rating, an Investment Rating and an Income Rating. VOLATILITY RISK RATINGS, indicators of potential price fluctuation, are: A - Low, B - Medium and C - High. INVESTMENT RATINGS reflect the analyst's assessment of both a stock's absolute total return potential as well as its attractiveness for investment relative to other stocks within its Coverage Cluster (defined below). Our investment ratings are: 1 - Buy stocks are expected to have a total return of at least 10% and are the most attractive stocks in the coverage cluster; 2 - Neutral stocks are expected to remain flat or increase in value and are less attractive than Buy rated stocks and 3 - Underperform stocks are the least attractive stocks in a coverage cluster. An investment rating of 6 (No Rating) indicates that a stock is no longer trading on the basis of fundamentals. Analysts assign investment ratings considering, among other things, the 0-12 month total return expectation for a stock and the firm's guidelines for ratings dispersions (shown in the table below). The current price objective for a stock should be referenced to better understand the total return expectation at any given time. The price objective reflects the analyst's view of the potential price appreciation (depreciation).

Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

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